

Understanding Risks

Module 2

Objectives

- Risk identification
- Key risk indicators and key performance indicators
- Risk and impact statements
- Risk management techniques for risk-impact assessment

Enterprise Risk Management

- identify a risk based on the **factors or threats driving it**
- Understanding the **risk appetite and risk tolerance** of the organization



Risk is assessed by:

- How likely the risk will become an issue
- How it impacts the organization in financial, reputational, or operational terms.



Steps in Risk Assessment

1. Collection of information- business and non-business environment.
2. Identify threats that could either harm the company or help the company grow.
3. Evaluate or assess risk based on the likelihood and impact of the risk (criticality-, risks closer to becoming an issue/opportunity.
4. Investigate possible controls and priorities that will lessen the risk.

Steps in Risk Assessment

5. Implement controls to lessen the risk.
6. Measure the controls for effectiveness through testing and enhancement.
7. Document mitigation measures to lessen the risk from becoming an issue, or increase the opportunity of the risk
8. Review and repair as needed

KPIs KRIIs

Importance of KRI's

- Predict potential high-risk areas to enable timely action.
- Identify current risk exposure and emerging risk trends
- Highlight control weaknesses and allow for the strengthening of poor controls
- Facilitate the risk reporting and escalation process



Effective KRIs

- **Measurable**
- **Predictable**
- **Comparable**
- **Informational**



Developing KRI

Considerations:

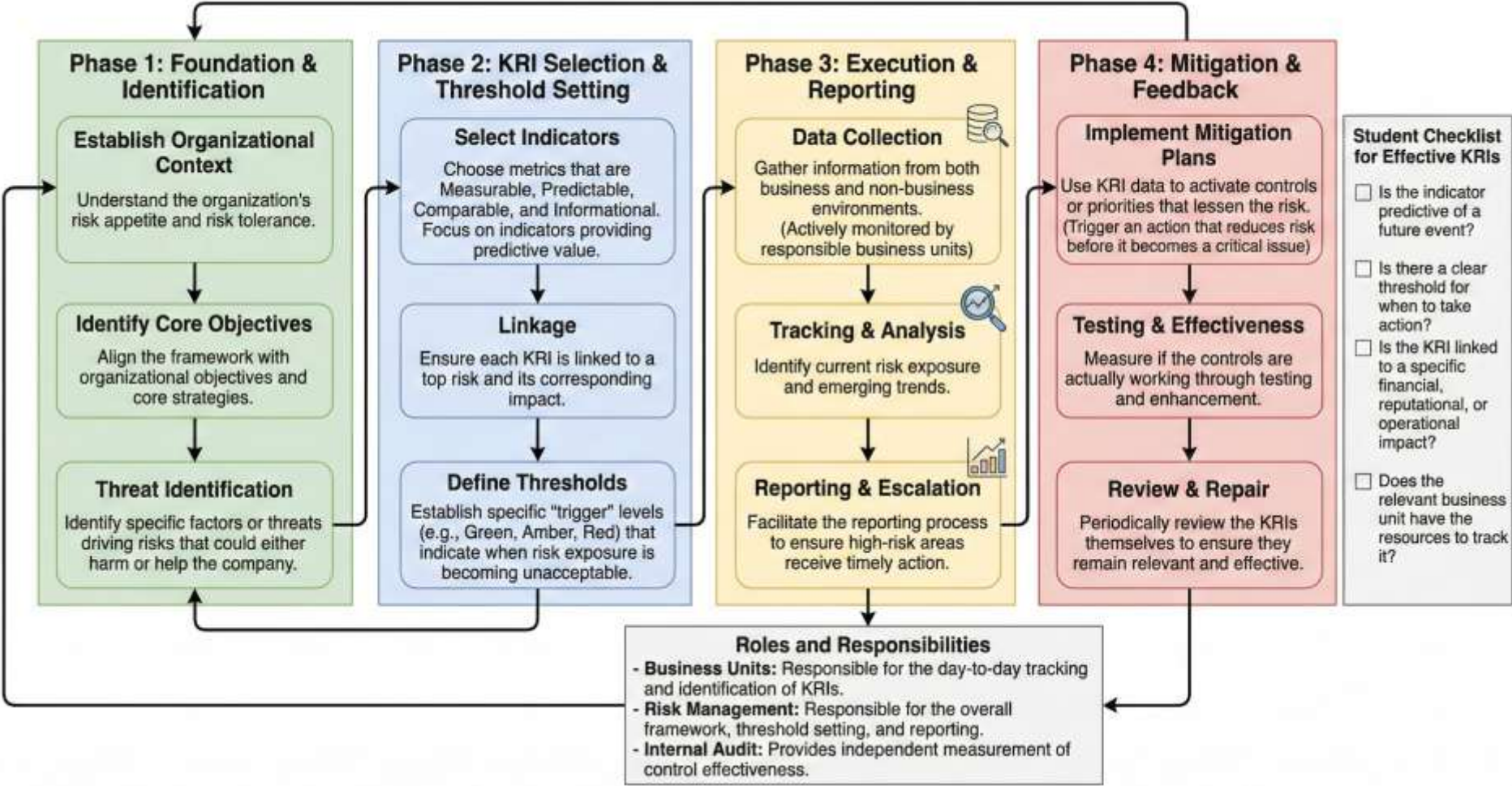
- A firm grasp of organizational objectives and risk-related events
- Linkage of top risks to core strategies



Developing KRI

1. Establish KRI framework
2. Set the process for creating and using KRIs
3. Identify the roles and responsibilities for specific actions in the KRIs development process

KRI Framework Workflow: A Systematic Process for Key Risk Indicators (KRIs) in Enterprise Risk Management (ERM)



KRI Processes

- KRI identification
- KRI Selection
- Setting Thresholds
- KRI Tracking & Reporting
- Risk Mitigation Plans

Roles & Responsibilities

- Risk Management
- Business Units
- Internal Audit



Challenges of Establishing an Effective KRI framework

- Getting business units to buy-in into the need for KRIs
- Demonstrating the positive effect that it can have on the overall firm and for each business unit
- Might result in setting aside more capital
- Identification of KRI's can prove to be difficult
- Lack of resources to track KRI's

